

your disability benefits, known as “residual benefits.” This is extremely important coverage in case you’re in a situation where an injury or illness allows you to work only part time.

- **A policy that offers inflation protection.** You don’t want your benefits to shrink over time, especially if they’re the only income you have to live on. Some policies will give you a “cost-of-living allowance,” which means they adjust with the rate of inflation year to year.

How to Reduce Your Disability Insurance Costs

The problem with individual disability coverage is that it’s not cheap. A 27-year-old paralegal who earns an annual salary of \$40,000 might pay about \$1,000 a year for a top-of-the-line policy (one that provides 70% of his salary if he becomes unable to work). Here are ways to keep your costs down:

- **Compare quotes.** Only a handful of insurance companies specialize in disability coverage. Two of the largest are Unum (www.unum.com; 877-322-7222), which sells only through agents, and Northwestern Mutual Life Insurance (northwesternmutual.com; 800-388-8123). Also, check with Financial Solutions Group (www.affordableinsuranceprotection.com) to find the best quotes from twelve disability insurers.
- **Consider a step-up, or gradual-payment, policy.** This allows you to pay lower premiums when you’re young and —gradually—higher ones when you’re older. With this plan, the paralegal might pay only about \$721 a year for the first year, \$723 in the next year, and so on. The advantage here is that those early payments (during what you hope will be your leanest years) are a lot lower than what you’d pay on a standard policy; however, after about a decade, the step-up policy would be charging you more per year than you’d pay otherwise.